

Lease Options

Some leases include an option for the tenant to purchase the unit being leased. These option clauses (also called lease with option to buy) specify the price for which the tenant agrees to purchase the unit, and the amount (if any) of the rent that will apply toward the purchase price.

Another lease option is one in which the tenant has the option to extend the term of the lease. A tenant may sign a one-year lease with a two-year option. This will give a commercial tenant, in particular, the opportunity to determine whether the business will thrive in that location, and if so, to remain in that location rather than having to move just as the business is getting on its feet. Leases with options to renew usually include a higher rent once the original lease term expires.